MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
FIFTH SEMESTER EXAMINATION- MODEL QUESTION PAPER
(2024 ADMISION ONWARDS)
MG5DSCCOM300 – INCOME TAX – I

Duration: 2 Hours Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

(Based on Income Tax Act 1961, Assessment Year 2026-27)

Part A

Attempt any ***twelve*** questions. Each question carries ***1*** mark.

1. Define the term Gross Total Income. [U]/[CO1]
2. Who is a non-resident Individual? [U]/ [CO2]
3. Give two examples of exempted income. [U]/[CO3]
4. What is the taxable limit in case of employer's contribution to RPF in calculation of gross salary? [U]/ [CO4]
5. If Net Annual Value of a let-out house property is Rs 61,000 then what would be the amount of standard deduction to be claimed? [U]/ [CO5]
6. Who is a deemed assessee? [U] /[CO1]
7. When does an individual become non-resident? [U]/ [CO2]
8. Give two examples of exempted income. [U] /[CO3]
9. What are the components to be included in salary for computation of salary in case of employees covered not covered under Payment of Gratuity Act? [U]/ [CO4]
10. How can we treat Municipal Taxes while calculating Income from House Property? [U] /[CO5]
11. Give the expansion of PAN. [U] /[CO1]
12. What is the notified limit while applying the provisions of Gratuity? [U] /[CO4]
13. How is income of a minor child treated in Income tax? [U] /[CO1]
14. Explain the deduction mentioned under section 80U. [U] /[CO3]

[12 x 1 = 12]

Part B

Answer any ***Four*** Questions. Each question carries *7* marks

15. Explain how tax is calculated when the assessee has both agricultural and non-agricultural income? [U] /[CO1]
16. Shri Ramesh has the following incomes for the Assessment Year 2026-27 :
    (i) Income from house property situated in London - Rs 40,000
    (ii) Income from salary received in India for services rendered in London (computed) – Rs 28,000
    (iii) Profit from business in London controlled from India – Rs 1,20,000
    (iv) Profit from Kanpur business - Rs 1,10,000
    (v) Agricultural Income in India - Rs 10,000
    Compute the gross total income of Shri Ramesh for the AY 2026-27, if he is: (i) Ordinarily resident in India, (ii) Non-resident. [A] /[CO2]

17. Discuss the tax planning strategies to be adopted by an individual who has income from salaries. [U] /[CO4]

18. From the following information, compute the amount of deduction under Section 80C
    (a) Life insurance premium on his life Rs 22,000.
    (b) Contribution to Unrecognised P.F. Rs 10,000.
    (c) Contribution to Recognised P.F. Rs13,000.
    (d) Contribution to Public Providend Fund Rs 25,000.
    (e) Subscription to N.S.C. VIII issue # 15,000. [A] /[CO3]

19. Compute taxable salary of Arun :

Particulars	Rs
Salary	5,00,000
Dearness allowance (not forming part of salary)	20,000
House rent allowance	1,20,000
Actual rent paid	1,50,000
Place of service	Chennai
CCA	500 p.m.
Medical allowance	1,000 p.m.

[A]/ [CO4]

20. From the following information compute the income from house property of Mr.Raju for the previous year 2025-26.

Municipal Valuation	Rs 1,50,000
Fair rental value	Rs.1,80,000
Standard Rent	Rs.1,60,000
Actual rent Receivable	Rs 20,000/month

Out of the total Municipal tax 4% is paid by Mr,Raju and other half by Mr.Ashwin (Tenant).Unrealized rent Rs 25,000 for the previous year .Interest on loan taken for repairing the property is Rs 40,000. [A]/ [CO5]

[4 x 7 = 28]

Part C

Answer any ***Two*** Questions. Each question carries ***15*** marks

21. Mr. Ram Gopal, an employee in a company, is drawing Rs 40,000 p.m. as salary plus 10% of his salary as dearness allowance (under terms and conditions). He is getting entertainment allowance of Rs 1,000 p.m. He has spent Rs 5,000 on entertainment of the company's customers. He is provided with a rent-free unfurnished house at Allahabad (whose population is more than 40 lakh) of the fair rental value of Rs 5,000 p.m. The house is owned by the company. He is also provided with a small car for his personal and official use and all the expenses of its maintenance and running are met by the company. Compute his taxable salary for the Assessment Year 2026-27. [A]/[CO4]

22. 'S' is the owner of 4 houses. The first house is let to a tenant for Rs 3,000 p.a. The second house, municipal valuation of which is Rs 4,500 p.a. is in his own occupation. The third house remained vacant throughout the whole year as it was not in rentable condition. The fourth house, the municipal valuation of which is Rs 6,000 is used by 'S' for his business.
    His expenses in respect of these houses are as follows :

1. Interest on loan taken to repair from the own residential house – Rs 400
2. Fire insurance premium for 1st, 2nd and 4th house - Rs 1,410
3. Collection charges - Rs 350
4. Ground rent in respect of 2nd house - RS 250

The first house, which is let, remained vacant for two months. Compute S's income from house property. [A]/[CO5]

23. Mr. Abdul donated the following amount in the Assessment Year 2026-27 by cheques except donation under (e) :

(a) Prime Minister's National Relief Fund - Rs 10,000
(b) National Defence Fund - Rs 20,000
(c) Mangalore University (of national eminence) – Rs 10,000
(d) Aid to poor students - Rs 2,000
(e) Books donated to an approved college – Rs 6,000
(f) Approved Charitable Institution – Rs 30,000
(g) Municipality, approved for promotion of family planning – Rs 10,000

Mr. Abdul's gross total income for the AY 2026-27 was Rs 3,05,000. He has incurred an expenditure of Rs 15,000, on the medical treatment of a disabled dependent. Compute the deduction allowable to him u/s 80G. [A]/[CO3]

[2 x 15 = 30]